

Business Requirements Document

Prior Authorization Rule: GLP-1 Weight-Management Agents (Non-Diabetes Indication)

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Requirement ID	PA-GLP1-WM-001
Status	Draft — For Review
Effective Date	TBD upon approval

1. BUSINESS NEED

GLP-1 medications prescribed for chronic weight management (as opposed to Type 2 diabetes) represent a fast-growing and high-cost category of Medicaid pharmacy spend. Currently, claims for these agents adjudicate using generic prior authorization logic that does not verify clinical medical necessity (diagnosis, BMI, and step-therapy history) specific to the weight-management indication. This creates risk of paying for claims that do not meet the state's coverage policy, and of denying legitimate claims that lack a clear, documented rule to adjudicate against.

2. OBJECTIVE

Implement a dedicated prior authorization rule within the claims adjudication system that evaluates weight-management GLP-1 claims against defined clinical and administrative criteria at the point of adjudication, automatically approving, denying, or pending each claim based on the data present on the claim and PA record.

3. SCOPE

In scope: NDCs for GLP-1 agents indicated for chronic weight management (e.g., semaglutide 2.4mg injection, tirzepatide weight-management formulation, liraglutide 3mg injection).

Out of scope: GLP-1 formulations indicated and billed for Type 2 diabetes management; these continue to adjudicate under the existing diabetes PA rule set.

4. BUSINESS RULES

A claim for an in-scope GLP-1 weight-management agent is **APPROVED** only if all of the following are true:

- Diagnosis code on the claim/PA record is an approved obesity diagnosis (ICD-10: E66.01, E66.09, or E66.3).
- Documented BMI on the PA record is 30 or greater.
- Member age is 18 or older.
- Step therapy is satisfied: a prior claim or PA record exists showing a documented lifestyle-modification program or trial of a lower-cost weight-management intervention within the prior 6 months.
- Quantity billed does not exceed 1 fill per 28-day supply (one box/pen per fill).

If any required field (diagnosis, BMI, age, step-therapy record) is missing or blank on the incoming claim/PA record, the claim is **PENDED** for additional information rather than denied outright.

If all required fields are present but one or more criteria are not met (e.g., BMI below 30, diagnosis not on the approved list, quantity exceeds the limit, step therapy not on file), the claim is **DENIED**.

5. ASSUMPTIONS & DEPENDENCIES

- Step-therapy history is available to the adjudication system via existing claims history lookback (6-month window).
- BMI is captured on the PA request record as a required field for this drug category.
- Diagnosis code is submitted on the claim per current NCPDP claim segment standards.

6. OUT OF SCOPE / NOT ADDRESSED BY THIS REQUIREMENT

- Provider-level appeals process for denied claims (governed by existing appeals policy).
- Retrospective drug utilization review (DUR) of claims paid prior to this rule's effective date.

7. RELATED ARTIFACTS

- Test Case Matrix — PA-GLP1-WM-001 (companion workbook)
- Defect Log — PA-GLP1-WM-001 (companion workbook)